Ruijie Networks (301165 CH)

Buy: AI switch momentum builds

Equities
Software

China

- Solid 3Q26; AIDC switch demand remains robust; key component supply shortages constrain near-term delivery
- SuperPOD switch revenue continue to accelerate; more meaningful volume ramp-up expected from 2027
- Maintain Buy; lower PE-based target price to RMB105.00 (from RMB139.00)

AI network demand outlook remains robust; supply headwinds priced in. Ruijie reported solid 3Q26 results, with revenue up 43% y-o-y and net profit up 69% y-o-y, led by 68% y-o-y growth in data centre network revenue. Nevertheless, revenue growth is moderately below our and the market's expectations due to slower-than-expected switch deliveries amid shortages of GPUs, switching chips, memory, and PCBs. However, as Ruijie's share price has fallen 42% since the beginning of September (vs CSI 300 down 11% over the same period), mainly on concerns about AI capex returns and sustainability and SuperPOD deliveries delay, we believe these headwinds have been priced in. Looking ahead, we see earnings and valuation upside, supported by: (1) ongoing product-mix improvement and ASP increases, with a more meaningful ramp-up in scale-up switch volumes from 2027 onwards; and (2) the RMB9.1bn inventory build-up as of the end of 3Q26, driven by proactive stocking of core chips and components, which signals strong order visibility and should translate into revenue, as SuperPOD adoption accelerates.

SuperPOD switch further ramps-up in 2027. Ruijie's 3Q26 SuperPOD switch revenue reached RMB150m (vs cRMB120m in 1H26), signalling accelerated growth. Previously, we quantified cRMB12bn of incremental scale-up switch demand from SuperPOD for Ruijie over 2H26-2027 (see *report*, 8 September 2026). Despite near-term delivery delays due to a shortage of core components, we remain optimistic about Ruijie's scale-up switch business outlook, given its deep know-how in networking large-scale compute clusters, and hyperscalers' preference for decoupled Ethernet network architectures over closed full-stack alternatives.

Earnings revisions. To factor in the 3Q26 results and delayed delivery of switches due to a supply shortage, we lower our 2026-28 revenue estimates by 1-3%. Incorporating our higher 2026-28 gross margin assumptions and R&D expense estimates, we lower our 2026-28 net profit estimates by 3%, 7%, and 3%, respectively.

Maintain Buy; lower TP to RMB105.00 (from RMB139.00). We continue to value Ruijie using a PE multiple, benchmarked against the peer group. The peer group's average 2025-28e EPS CAGR is 48%, and its average 2027e PE is 20x (previously, we used a 2025-28e peer EPS CAGR of 54% and an average 2027e PE of 28x). We expect Ruijie's 2025-28 EPS to grow at a CAGR of 83% (previously 85%). Therefore, we apply a 35x target 2027 PE (83/48 x 20; previously 43x). Based on a 2027 EPS estimate of RMB3.00 (previously RMB3.23), we arrive at a new TP of RMB105.00 (previously RMB139.00). Our TP implies c41% upside; accordingly, we maintain our Buy rating on the stock. See potential share price catalysts and key downside risks on *pages 5-6*.

MAINTAIN BUY

TARGET PRICE (RMB)	PREVIOUS TARGET (RMB)
105.00	**139.00**
SHARE PRICE (RMB)	UPSIDE/DOWNSIDE
74.36 (as of 26 Oct 2026)	**+41.2%**

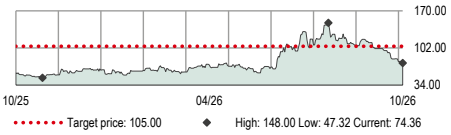
MARKET DATA

Market cap (RMBm)	82,810	Free float	100%
Market cap (USDm)	12,415	BBG	301165 CH
3m ADTV (USDm)	323	RIC	301165.SZ

FINANCIALS AND RATIOS (RMB)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC QH EPS	0.63	1.67	3.00	3.82
HSBC QH EPS prev	0.63	1.72	3.23	3.93
Change (%)	0.0	-3.1	-7.4	-2.8
Consensus EPS	0.89	1.43	2.60	3.42
PE (x)	118.9	44.5	24.8	19.5
Dividend yield (%)	0.7	1.2	2.4	3.1
EV/EBITDA (x)	72.3	41.7	21.5	16.8
ROE (%)	14.6	29.2	50.4	52.3

52-WEEK PRICE (RMB)



Source: LSEG IBES, HSBC Qianhai Securities estimates

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This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

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Financials & valuation: Ruijie Networks

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (RMBm)				
Revenue	14,316	20,943	32,481	40,797
EBITDA	1,134	1,971	3,847	4,884
Depreciation & amortisation	-278	-168	-167	-201
Operating profit/EBIT	816	1,729	3,625	4,629
Net interest	1	-29	-16	-17
PBT	825	1,738	3,634	4,638
HSBC Qianhai PBT	825	1,738	3,634	4,638
Taxation	-129	-139	-291	-371
Net profit	696	1,595	3,335	4,257
HSBC Qianhai net profit	696	1,595	3,335	4,257
Cash flow summary (RMBm)				
Cash flow from operations	1,828	995	2,053	3,789
Capex	-249	-587	-614	-642
Cash flow from investment	-503	-587	-614	-642
Dividends	-418	-957	-2,001	-2,554
Change in net debt	-1,260	221	498	-630
FCF equity	1,579	408	1,439	3,147
Balance sheet summary (RMBm)				
Intangible fixed assets	1,755	2,222	2,723	3,223
Tangible fixed assets	608	560	507	448
Current assets	7,846	9,342	11,967	14,536
Cash & others	2,648	2,427	1,929	2,560
Total assets	10,224	12,139	15,212	18,221
Operating liabilities	3,338	4,293	6,023	7,319
Gross debt	1,897	1,897	1,897	1,897
Net debt	-751	-530	-32	-663
Shareholders' funds	4,989	5,946	7,280	8,982
Invested capital	4,223	5,405	7,245	8,328

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	22.4	46.3	55.1	25.6
EBITDA	75.1	73.8	95.2	27.0
Operating profit	112.7	112.0	109.7	27.7
PBT	103.5	110.7	109.1	27.6
HSBC Qianhai EPS	-38.1	167.3	79.2	27.6
Ratios (%)				
Revenue/IC (x)	3.1	4.4	5.1	5.2
ROIC	17.5	35.7	54.4	56.4
ROE	14.6	29.2	50.4	52.3
ROA	7.3	14.8	24.8	25.8
EBITDA margin	7.9	9.4	11.8	12.0
Operating profit margin	5.7	8.3	11.2	11.3
EBITDA/net interest (x)		67.4	236.1	294.8
Net debt/equity	-15.1	-8.9	-0.4	-7.4
Net debt/EBITDA (x)	-0.7	-0.3	-0.0	-0.1
CF from operations/net debt				
Per share data (RMB)				
EPS Rep (diluted)	0.88	1.43	3.00	3.82
HSBC Qianhai EPS (diluted)	0.63	1.67	3.00	3.82
DPS	0.53	0.86	1.80	2.29
Book value	6.27	5.34	6.54	8.07

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	5.7	3.9	2.5	2.0
EV/EBITDA	72.3	41.7	21.5	16.8
EV/IC	19.4	15.2	11.4	9.9
PE*	118.9	44.5	24.8	19.5
PB	11.9	13.9	11.4	9.2
FCF yield (%)	1.9	0.5	1.7	3.8
Dividend yield (%)	0.7	1.2	2.4	3.1

* Based on HSBC Qianhai EPS (diluted)

ESG metrics

Environmental Indicators	12/2025a
GHG emission intensity*	n/a
Energy intensity*	n/a
CO_2 reduction policy	Yes
Social Indicators	**12/2025a**
Employee costs as % of revenues	n/a
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	9
Average board tenure (years)	n/a
Female board members (%)	33.3
Board members independence (%)	33.3

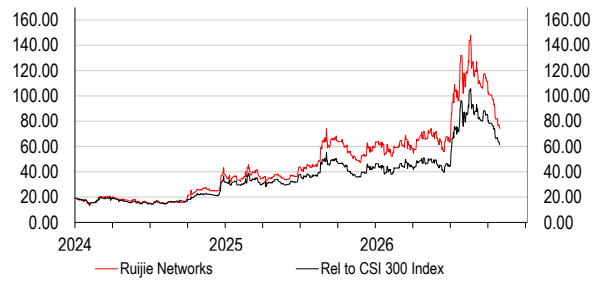
Source: Company data, HSBC Qianhai Securities

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (RMB)	74.36	Free float	100%
Target price (RMB)	105.00	Sector	Software
RIC (Equity)	301165.SZ	Country/Region	China
Bloomberg (Equity)	301165 CH	Analyst	Yiran Liu
Market cap (USDm)	12,415	Contact	+86 10 5795 2349

Price relative



Source: HSBC Qianhai Securities

Note: Priced at close of 26 Oct 2026

Estimate revisions and outlook

Ruijie's 3Q26 revenue grew 43% y-o-y, slightly below our and the market's expectations, due to delayed deliveries caused by a supply shortage of key components. Data centre switches remained the core growth engine, with 9M26 data centre network revenue surging 68% y-o-y, driven by accelerated order fulfilment for internet customers and a higher contribution from high-speed switches. 9M26 revenue from 400G switches grew 37% y-o-y to RMB4.8bn, while revenue from 800G switches grew c380% to RMB3.5bn.

3Q26 gross margin of 33% (vs 30% in 2Q26) came in above our expectations despite rising raw material costs and a higher revenue contribution from white-box switches, implying strong cost management and economies of scale. 3Q26 net profit grew 69% y-o-y, in line with market expectations.

Exhibit 1. Ruijie's 3Q26 results review

(RMBm)	3Q26	3Q25	y-o-y	9M26	9M25	y-o-y	4Q26e	4Q25	y-o-y
Revenue	5,764	4,031	43%	14,596	10,680	37%	6,348	3,636	75%
Costs	3,870	2,598	49%	9,909	7,040	41%	4,100	2,197	87%
Gross profit	1,894	1,433	32%	4,686	3,640	29%	2,247	1,439	56%
Selling expenses	523	494	6%	1,265	1,175	8%	493	480	3%
Administrative expenses	258	162	59%	560	472	19%	234	222	6%
R&D expenses	722	561	29%	1,743	1,328	31%	865	670	29%
Financial expenses	22	3	735%	53	7	656%	-6	9	-162%
Tax and extra charges	30	15	95%	60	38	57%	34	20	70%
Asset impairment loss	19	-16	223%	98	48	104%	49	18	176%
				-	-				
Other operating income	60	58	5%	196	178	10%	48	45	7%
Operating profit	381	271	41%	1,103	751	47%	626	65	864%
				-	-				
Non-operating income	4	5	-13%	13	15	-10%	4	2	76%
Other expenses	0	2	-86%	2	6	-69%	5	1	327%
Profit before tax	385	273	41%	1,115	759	47%	624	66	850%
Taxation	3	45	-92%	40	79	-50%	99	50	100%
Profit after tax	381	228	67%	1,075	680	58%	524	16	3197%
Minorities	-6	0		-6	0		10	0	
Net profit	**387**	**228**	**69%**	**1,081**	**680**	**59%**	**514**	**16**	**3134%**

Source: Company data, HSBC Qianhai Securities estimates

To factor in the 3Q26 results and the delayed delivery timeline for large-scale SuperPOD switches, we lower our 2026-28 revenue estimates by 1%, 3%, and 3%, respectively. In addition, Ruijie disclosed a preliminary plan in September to issue convertible bonds, with the aim of raising RMB2.6bn to fund R&D in high-speed interconnection networks for large-scale supercomputing clusters and high-speed network switching units for high-density computing clusters. Hence, we expect higher R&D investment and raise our 2026-28 core expense estimates (selling, administrative, and R&D expenses combined) by 13%, 23%, and 26%, respectively. Separately, we raise our 2026-28 gross margin estimates by 1ppt, 1ppt, and 2ppt, respectively, given stronger-than-expected cost management. Following the above changes, we lower our 2026-28 net profit estimates by 3%, 7%, and 3%, respectively.

Exhibit 2. Revenue estimate changes, by segment

	2026e			2027e			2028e		
(RMBm)	Old	New	Change	Old	New	Change	Old	New	Change
Network Devices	19,156	19,031	-1%	31,608	30,450	-4%	40,142	38,671	-4%
Cloud Desktop Solutions	630	630	0%	693	693	0%	728	728	0%
Network Security Products	553	553	0%	608	608	0%	669	669	0%
Others	729	729	0%	729	729	0%	729	729	0%
Total	**21,069**	**20,943**	**-1%**	**33,639**	**32,481**	**-3%**	**42,268**	**40,797**	**-3%**

Source: HSBC Qianhai Securities estimates

Exhibit 3. Revenue and earnings estimate changes

	2026e			2027e			2028e		
(RMBm)	Old	New	Change	Old	New	Change	Old	New	Change
Revenue	21,069	20,943	-1%	33,639	32,481	-3%	42,268	40,797	-3%
Costs	14,383	14,010	-3%	23,797	22,506	-5%	30,792	28,930	-6%
Gross profit	6,686	6,934	4%	9,842	9,974	1%	11,476	11,867	3%
Selling expenses	1,758	1,758	0%	1,855	1,855	0%	1,987	1,987	0%
Administrative expenses	708	794	12%	748	851	14%	792	908	15%
R&D expenses	2,523	2,608	3%	3,384	3,578	6%	4,049	4,299	6%
Financing expenses	9	47	441%	17	34	95%	19	34	82%
Tax and extra charges	63	94	49%	101	146	45%	127	184	45%
Impairment loss	84	147	74%	135	195	45%	169	245	45%
Other operating income	244	244	0%	312	311	0%	432	419	-3%
Operating profit	1,784	1,729	-3%	3,914	3,625	-7%	4,764	4,629	-3%
Non-operating income	17	17	0%	17	17	0%	17	17	0%
Non-operating expenses	7	7	0%	7	7	0%	7	7	0%
Profit before tax	1,793	1,738	-3%	3,923	3,634	-7%	4,774	4,638	-3%
Income tax	143	139	-3%	314	291	-7%	382	371	-3%
Profit after tax	1,650	1,599	-3%	3,609	3,344	-7%	4,392	4,267	-3%
Minority Interest	4	4	-3%	9	8	-7%	11	11	-3%
Net profit	**1,646**	**1,595**	**-3%**	**3,600**	**3,335**	**-7%**	**4,381**	**4,257**	**-3%**

Source: HSBC Qianhai Securities estimates

HSBC Qianhai Securities estimates vs Wind consensus

Our 2026e revenue and net profit estimates are in line with Wind consensus. Our 2027 revenue and 2027-28e net profit estimates are above Wind consensus, as we are more optimistic about: (1) the data centre switch volumes and ASP tailwinds; and (2) Ruijie's net margin expansion backed by economies of scale.

Exhibit 4. HSBC Qianhai Securities estimates vs Wind consensus

	HSBC Qianhai estimates			Wind consensus			Difference		
(RMBm)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
Revenue	20,943	32,481	40,797	20,678	30,282	40,798	1%	7%	0%
Net profit	1,595	3,335	4,257	1,595	2,756	3,971	0%	21%	7%

Source: Wind, HSBC Qianhai Securities estimates

Earnings sensitivity analysis

Exhibit 5. Sensitivity analysis of estimated net profit attributable to the parent

	Changes in net profit attributable to the parent		
Changes in R&D expense ratio	2026e	2027e	2028e
-1ppt	11.4%	9.5%	9.3%
0ppt	0.0%	0.0%	0.0%
+1ppt	-11.1%	-10.3%	-9.2%

Source: HSBC Qianhai Securities estimates

Valuation and Risks

Maintain Buy; lower PE-based TP to RMB105.00 (from RMB139.00)

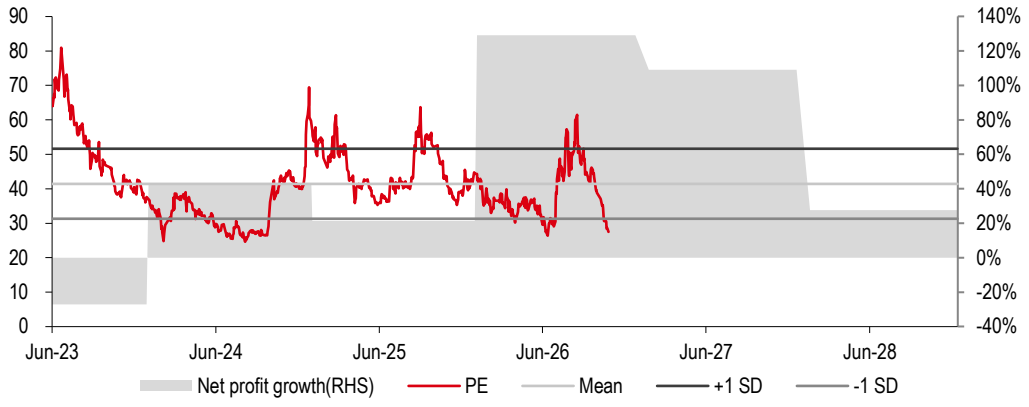
We continue to value Ruijie using a PE multiple, benchmarked against the peer group. The peer group's average 2025-28e EPS CAGR is 48%, and its average 2027e PE is 20x (previously, we used a 2025-28e peer EPS CAGR of 54% and an average 2027e PE of 28x). We expect Ruijie's 2025-28 EPS to grow at a CAGR of 83% (previously 85% for 2025-28e). Therefore, we apply a 35x target 2027 PE (83/48 x 20; previously 43x). Based on a 2027 EPS estimate of RMB3.00 (previously RMB3.23), we arrive at a new TP of RMB105.00 (previously RMB139.00). Our TP implies c41% upside from current levels; accordingly, we maintain our Buy rating on the stock.

Exhibit 6. Comparable companies for Ruijie

		HSBC Qianhai	Market cap	ADTV	Target price	Price	Revenue Growth		EPS Growth		EPS CAGR	PS (x)		PE (x)		PEG (x)	ROE	
Ticker	Company	Rating	USDbn	USDm	RMB	RMB	2026e	2027e	2026e	2027e	2025-28e	2026e	2027e	2026e	2027e	2027e	2026e	2027e
301165 CH	Ruijie*	Buy	12.4	323	105.00	74.36	46%	55%	167%	79%	83%	4.0	2.5	44	25	0.5	29%	50%
600498 CH	Fiberhome*	Buy	5.8	631	56.00	28.94	18%	16%	249%	27%	73%	1.3	1.2	23	18	0.8	9%	11%
000063 CH	ZTE	NR	18.6	739		28.03	11%	12%	5%	14%	10%	0.9	0.8	23	20	1.6	7%	8%
603296 CH	Huaqin	NR	15.5	263		70.38	21%	22%	29%	22%	25%	0.5	0.4	19	16	0.7	18%	19%
	Average		**13.0**	**495**			**24%**	**26%**	**112%**	**36%**	**48%**	**1.7**	**1.2**	**27**	**20**	**0.9**	**16%**	**22%**

Note: Priced as of 26 October 2026. *Covered by HSBC Qianhai Securities and HSBC Qianhai Securities estimates are used. NR – Not Rated. NA – Not Applicable/Available.
Source: Bloomberg, Wind consensus (for Not Rated stocks), HSBC Qianhai Securities estimates (for HSBC Qianhai Securities covered stocks)

Exhibit 7. Ruijie: 1-year forward PE band



Source: Company data, Wind, HSBC Qianhai Securities estimates

Potential share price catalysts:

- **Increasing capex from domestic hyperscalers on network devices**: Domestic hyperscalers are rapidly boosting their capex, with the combined spending of ByteDance, Alibaba, and Tencent reaching RMB346bn in 2025 and set to more than double to over RMB700bn in 2026 (see *China AIDCs and Supply Chain*, 23 June 2026). This is still well below the spending intensity of US peers, indicating there's substantial growth potential. Increasing capex from domestic hyperscalers on network devices will boost order intake and revenue growth for Ruijie.
- **Rising adoption of rack-scale compute solutions like SuperPOD**: As the communication rate between cabinets is becoming more and more difficult to meet the demand for AI LLM training and inference currently, rack-scale compute systems like SuperPOD are seeing rising adoption, which should boost scale-up switches demand and support revenue growth for Ruijie.

Key downside risks

- **More-intense-than-expected competition**: If companies like Huawei or H3C expand further into the internet white-box switch market, it could negatively impact Ruijie's market share.
- **Major customer concentration and AI capex cyclical fluctuations**: Ruijie derives c45% of its total revenue from major Chinese internet companies in 2025 (source: company data). Since these internet companies' capital expenditure cycles are highly synchronised, any slowdown could affect revenue growth.
- **US tech restrictions**: Ruijie's switching chips are primarily sourced from Broadcom. Despite domestic switch chip suppliers such as Centec (688702 CH) can provide some level of domestic alternatives, the performance of domestic switch chips still lags behind that of overseas counterparts, and they also face challenges related to limited production capacity. If the U.S.-China tech decoupling trend escalates, the supply of high-end chips could be affected.
- **Gross margin volatility**: Given that the white-box data centre switch's gross margin is lower than that of branded campus switches, a faster-than-expected increase in revenue contribution from data centre switches might cause gross margin volatility.

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Yiran Liu and Heng Zhang

Important disclosures

Equities: Stock ratings and basis for financial analysis

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HSBC assigns ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Rating distribution for long-term investment opportunities

As of 30 September 2026, the distribution of all independent ratings published by HSBC is as follows:

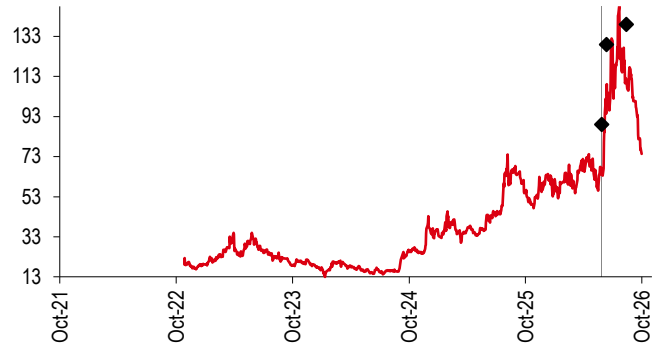
Buy	60%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	35%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	4%	(10% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

Ruijie Networks (301165.SZ) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Buy	Buy	23 Jun 2026	Yiran Liu
Target price	**Value**	**Date**	**Analyst**
Price 1	89.00	23 Jun 2026	Yiran Liu
Price 2	129.00	08 Jul 2026	Yiran Liu
Price 3	139.00	08 Sep 2026	Yiran Liu

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
RUIJIE NETWORKS	301165.SZ	74.36	26 Oct 2026	–

Source: HSBC

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